

What Is Behavioral Labor?

Behavioral Labor — Week 1

Teaching deck draft

Central question

- What makes Behavioral Labor a coherent labor field rather than a loose application of behavioral economics?
- The answer starts from labor objects: work, effort, search, training, take-up, job choice, contracts, and household allocation.
- The course discipline: benchmark, behavioral wedge, labor margin, identification, welfare, and response.

Course reorientation

Source course	What Behavioral Labor inherits
Labor I	Worker-side labor supply, human capital, job amenities, households, and policy exposure
Labor II	Firms, contracts, search frictions, institutions, shocks, wage setting, and equilibrium response
Behavioral Labor	Preference, belief, attention, complexity, and design wedges mapped into both sides of the market

Why labor is a natural behavioral domain

- Labor decisions are repeated, high-stakes, and dynamic.
- Search frictions make feedback noisy and learning slow.
- Households and coworkers make social meaning first order.
- Contracts, managers, and firms shape the choice environment.
- Policy often works through salience, take-up, deadlines, and complexity.

Benchmark labor model

$$a_i^* \in \arg \max_{a \in \mathcal{A}} U_i(a; \theta_i) \quad \text{s.t.} \quad c_i = g(a, p, y_i)$$

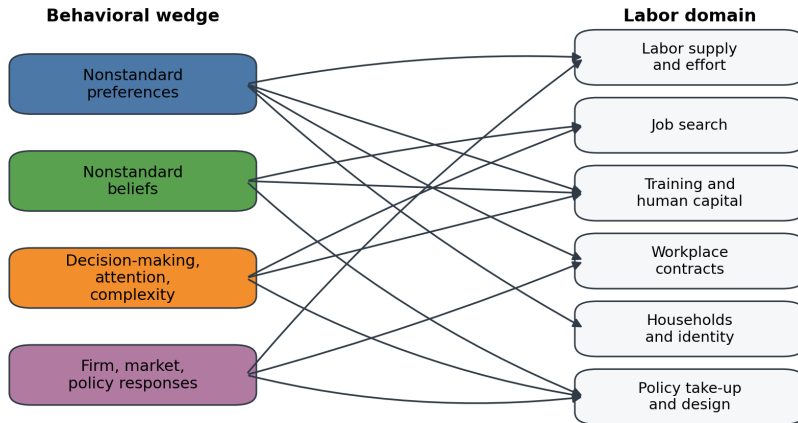
- a may be hours, effort, search intensity, training, applications, job choice, or take-up.
- The benchmark is a serious starting point, not a straw model.
- Behavioral Labor asks whether the worker solves the same problem the analyst writes down.

Behavioral wedge representation

$$a_i^B \in \arg \max_{a \in \mathcal{A}_i(\lambda_i)} \tilde{U}_i(a; \theta_i, \beta_i, r_i, \eta_i) \quad \text{s.t.} \quad \tilde{g}_i(a \mid b_i, \lambda_i)$$

Object	Interpretation
β_i, r_i, η_i	present bias, reference points, reciprocity, social preferences, identity
b_i	subjective beliefs and expectations
λ_i	attention, salience, complexity, limited consideration
$\tilde{g}_i$	perceived or designed environment, including firm and policy response

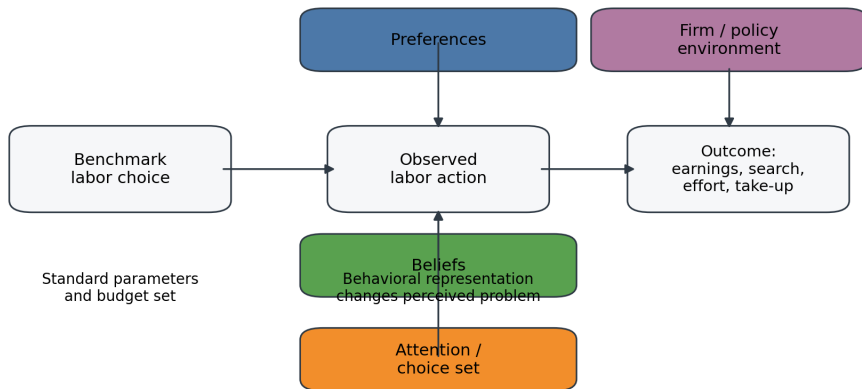
DellaVigna taxonomy adapted to labor



Labor domains where behavioral frictions matter

Domain	Behavioral question
Labor supply and effort	Do incentives create durable effort or only short-run response?
Job search	Do beliefs and motivation change search intensity and job finding?
Training and human capital	Why is investment low when returns may be delayed and uncertain?
Workplace contracts	Do fairness, reciprocity, or complexity change productivity?
Households and identity	Do norms alter labor supply and specialization?
Policy take-up	Do workers notice, understand, and act on the program?

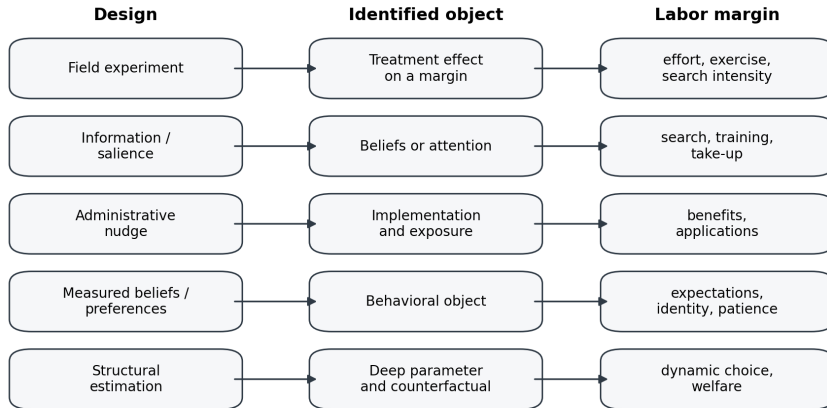
Benchmark versus behavioral wedges



Examples: workers, households, firms, policy

- Workers: commitment demand, habit formation, search motivation, perceived returns.
- Households: identity costs and relative income can shape labor allocation.
- Firms: managers can simplify, frame, monitor, screen, or offer commitment.
- Policy: statutory generosity differs from effective exposure when take-up is costly or confusing.

Methods and identification



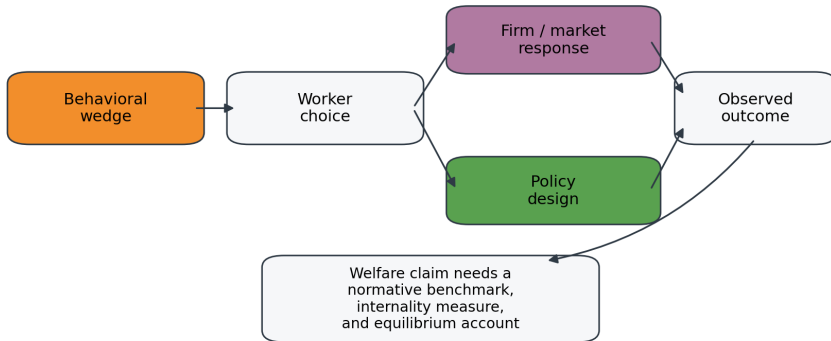
What different designs identify

Design	Identified object	Labor use
Field experiment	Treatment effect on a margin	incentives, effort, search
Information intervention	Beliefs or attention	search, training, take-up
Administrative nudge	Implementation and exposure	applications, benefits
Measured beliefs/preferences	Behavioral heterogeneity	expectations, patience, identity
Structural estimation	Parameter and counterfactual	dynamic choice, welfare

$$I_i(a_i^B) = V_i(a_i^\dagger) - V_i(a_i^B)$$

- A behavioral treatment effect is not automatically a welfare gain.
- Welfare requires a normative benchmark, internality measure, and account of sophistication.
- Firm, market, and policy response can mask, amplify, or reallocate the behavioral wedge.

Response before interpretation



- Primary anchor: incentives, commitments, and habit formation among workers.
- Reproduce: bounded synthetic worker wellness experiment.
- Diagnose: separate incentive response, commitment demand, and persistence.
- Transfer: apply the same classification logic to a job-search information design.

- Week 1 gives the full map.
- Week 2 zooms in on nonstandard preferences.
- Central next questions: present bias, reference dependence, reciprocity, social preferences, identity.
- The same discipline remains: benchmark, wedge, margin, identification, welfare, response.

Takeaways

- Behavioral Labor is labor economics organized around behavioral wedges and design.
- The field is strongest when behavioral mechanisms imply distinctive labor predictions.
- Methods matter because different designs identify different objects.
- Welfare and equilibrium interpretation require more than a positive behavioral effect.